IN THE NATIONAL COMPANY LAW TRIBUNAL: NEW DELHI
SPECIAL BENCH (COURT – II)

Item No. 224
CP CA (CAA) 87/ND/2024

IN THE MATTER OF:
Perfect Relations Pvt. Ltd. ... Applicant/Petitioner

Under Section: 230-232

Order delivered on 23.09.2025

CORAM:
SH. ASHOK KUMAR BHARDWAJ, HON'BLE MEMBER (J)
SH. RAVINDRA CHATURVEDI, HON'BLE MEMBER (T)

PRESENT:

For the Applicant	**:** Adv. Naesh Kuma with Adv. Ashish Middha
For the RD	**:** Adv. Shashi Raj Dara
For the OL	**:** Adv Kartikeya Asthana With Adv Vanya Bajaj
For the IT Dept	**:** Mr. Sanjay Kumar, Ms. Easha, Ms. Monica Benjamin; Standing Counsels

Hearing Through: VC and Physical (Hybrid) Mode

ORAL ORDER

1. The present petition is second motion petition regarding the Scheme of Amalgamation, in terms of which the Petitioner No. 1, Petitioner No. 2 and Non-Petitioner No. 3 are sought to be amalgamated with Non-Petitioner No. 4.

2. The salient feature of scheme of amalgamation are thus:-

> *"2. RATIONALE AND OBJECTIVE OF THE SCHEME*
> *a) The Transferor Companies and the Transferee Company (as defined hereinafter) are Group Companies engaged in the similar line of business and believe that the resources of the merged entity can be pooled to unlock the opportunity for creating shareholder value.*
>
> *b) The Companies will be able to share best practices, cross-functional learnings, and utilize each other's facilities in a more efficient manner.*
>
> *c) The proposed amalgamation will enable to consolidate group entities in India carrying on the business of providing digital media advertising and creative services to its clients in India and providing services related to planning and implementation to its customers and will result in administrative and operational rationalization,*

organizational efficiencies, reduction in overheads, personnel and compliance costs including other administrative expenses.

d) The proposed amalgamation would be beneficial from a revenue generation and cost optimization perspective as the Transferee Company would continue to reap benefits of the qualifications of the Transferor Companies and its preferred vendor status with identified customers post-amalgamation.

e) The proposed amalgamation will prevent cost duplication and will result in synergies in operations. The synergies created by such amalgamation would increase operational efficiency and integrate business functions which will enable easier and speedier decision making at all levels and better management and co-ordination.

f) Simplified structure and management efficiency: In line with group strategy simplification, synergy, scale, sustainability, and speed, the proposed amalgamation will simplify group holding structure, improve agility to enable quicker decision making, eliminate administrative duplications, consequently reducing administrative costs of maintaining separate entities.

g) The proposed amalgamation will improve organizational capability arising from the pooling of human capital that has diverse skills, talent and vast experience and integration and optimization of various support functions, resources, and assets.

h) The proposed amalgamation would make it easier to address the needs of customers by providing them a wide variety of services ranging from digital media and advertising solutions to programmatic buying of digital solutions thereby improving customer satisfaction.

i) The proposed amalgamation will be beneficial, advantageous and not prejudicial to the interests of the shareholders, creditors, and other stakeholders of the Transferor Companies and Transferee Company.

j) The Scheme is commercially and economically viable and feasible and is in fact fair and reasonable."

3. The first motion order was passed in CA (CAA) 65/ND/2024 on 09.10.2024, wherein the meetings of the stakeholders were dispensed with. Paragraphs 12 and 13 of the said order read thus:–

"12. Accordingly, the directions of this Bench in the present case are as under:

12.1 All the shareholders of the Applicant/Transferor Company No. 1 and Transferor Company No. 2 have given their consent to the Scheme 011 their respective affidavit. Therefore, the requirement of convening the Meetings of Shareholders in respect of the Applicant Transferor Companies is dispensed with.

12.2 As evident from the application, there are 'NIL' Secured Creditors in the Applicant/Transferor Company No. 1 and Transferor Company No. 2 and therefore, the need to convene their meeting does not arise.

12.3 Further, more than 90% in value of the Unsecured creditors of the Applicant/Transferor Company No. 1 and Transferor Company No. 2 have given their consents on affidavits, therefore, their meetings are also dispensed with.

13. So far as serving a notice to the various authorities, Section 230(5) read with Section 230(3) of Companies Act. 2013 provides for issuance of notice in case a meeting is convened. However, all the meetings are dispensed in terms of Section 230(9) of Companies Act, 2013. Hence, there is no requirement of issuing notice to the sectoral regulators at this stage."

4. The prayer made in the captioned application reads thus:-

"The Petitioner Transferor Companies No. 1 & 2, therefore, humbly pray that this Hon'ble Tribunal may be pleased to:

a. Sanction the Scheme of Amalgamation of Perfect Relations Private Limited and Accord Public Relations Private Limited and WAT Media Private Limited with Dentsu One Private Limited as per Annexure: P-1 and declare the same to be binding with effect from the Appointed Date on the Petitioner Transferor Companies and the Transferee Company, their Equity Shareholders, Creditors and all concerned without any further act, deed or thing; and

b. Pass orders for the dissolution of the Transferor Companies No. 1 & 2 without the process of winding up; and

c. Allow the Petitioner Companies to place on record Schedule of Properties of the Transferor Companies.

d. Pass such other/further order(s) as this Hon'ble Tribunal may deem fit and proper; and

e. Meanwhile, notice of hearing of this Petition may be directed to be published in "Business Standard" (English, Delhi/NCR Edition) and "Business Standard" (Hindi, Delhi/NCR Edition)

newspapers, or in such other newspapers. Further, notice of the present Petition/Application may be directed to be served on (a) the Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, NCT Delhi and Haryana; (c) The Official Liquidator, Ministry of Corporate Affairs, New Delhi; and (d) the Income Tax Department."

5. Ld. Joint Director present on behalf of the Director MCA espoused:-

   i. The first motion application was filed on 30.03.2023, and the appointed dated is 01.04.2023. In his submission the appointed date is more than one year older, thus the scheme may not be approved.
   Indubitably, the appointed date need to be determined with reference to the date of filing of first motion petition and the same is not more than one year old as on date of filing first motion petition.

   ii. Ld. Joint Director also alleged defiance of the provisions of Section 96, 134, 135, 137, 185 & 186 of the Companies Act, 2013 and also submitted that the Applicants before us may submit compounding application to RoC and subject to submission of such applications, the RD has no objection to approval of the scheme.

6. As can be seen from Companies Act 2013, in terms of the provisions of Section 96 thereof, the company need to call Annual General Meeting as per schedule. Section 133 provides for accounting standard. Section 137 is regarding filing of financial statement with the Registrar. Section 135 deals with the provisions of corporate social responsibility of the company. Section 185 provides for the loan to directors etc. and Section 186 deals with the Loan and investments by the company.

7. As suggested by the Joint Director (MCA) subject to the condition that the Applicants before us would comply with the aforementioned provisions and would file an application for compounding of violations within 30 days from today, we approve the scheme in question.

8. It is made clear that in the event of non-compliance of the aforementioned provisions by the Applicants before us and their failure to move compounding

applications even after expire of 30 days from the date of uploading the order on DMS, the scheme would be deemed as rejected.

9. It is further directed that any term contrary to the provisions of Section 6 of Companies Act contained in the scheme would be non est.

10. The appointed date qua the scheme would be 01.04.2023.

11. Ld. Counsel for the Income Tax Department submitted that there are certain demands against the Applicant No. 1 and subject to the condition that the demand would be met by the transferee company, the present scheme may be approved. In the wake it is directed that subject to outcome of pending proceedings, the transferee company would be liable to meet all the demand raised by all the statutory authorities against the transferor company.

12. While approving the Scheme as above, it is clarified that this Order should not be construed as an order in any way granting exemption from payment of Stamp Duty, Taxes or other statutory dues, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement, which may be specifically required under any law. Further the approval of the Scheme would in no manner affect the tax treatment of the transactions under the Income Tax Act, 1961 or serve as any exemption or defence for the Petitioner Companies against tax treatment in accordance with the provisions of Income Tax Act, 1961 and the rules and regulations made thereunder.

13. This Tribunal further orders:

    i. That all the property, rights and entitlement of the Transferor Companies pertaining to the Business be transferred, without further act or deed, to the Resulting Company and accordingly, the same shall pursuant to Sections 230 to 232 of the Companies Act, 2013, be transferred to and vested in the Resulting Company for all the estate and interest of the Companies but subject nevertheless to all charges now affecting the same;

    ii. That all the liabilities and duties of the Transferor Companies pertaining to the Business be transferred, without further act or deed, to the Resulting Company and accordingly the same shall pursuant to Sections 230 to 232

of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Resulting Company;

iii. All the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favourable than those on which they are engaged by the Transferor Company, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits.

iv. All contracts of the Transferor Companies, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favour of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Companies, the Transferee Company had been a party or beneficiary or obliged thereto.

v. All benefits, entitlements, incentives and concessions under incentive schemes and policies that the Transferor Companies are entitled to including under Customs, Excise, Service Tax, VAT, Sales Tax, GST and Entry Tax and Income Tax laws, subsidy receivables from Government, grant from any governmental authorities, direct tax benefit/exemptions/ deductions, shall, to the extent statutorily available and along with associated obligations, stand transferred to and be available to the Transferee Company as if the Transferee Company was originally entitled to all such benefits, entitlements, incentives and concessions.

vi. The Income Tax Department shall have the liberty to determine the tax implications of the amalgamation under the Act, which shall prevail over the scheme, and even in case of liabilities arising against transferor companies the transferee company shall be responsible/liable.

vii. The Transferee Company is directed to comply with the provisions of S.232(3)(i) of the Companies Act in this regard to the fee payable on its revised authorized share capital.

viii. All proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

ix. That the Appointed Date for the scheme shall be 01.04.2023 as specified in the scheme;

x. That the Petitioner Companies shall, within 30 days after the date of receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration in the prescribed form.

xi. That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary;

xii. As per the aforesaid directions, formal orders in Form No. CAA-7 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 be issued after the filing of the Schedule of Properties within three weeks from the date of receiving a certified copy of this order by the petitioners.

1. All the concerned Regulatory Authorities are to act on a copy of this order annexed with the Scheme duly authenticated by the Registrar. However, it is made clear that the present order would not entitle the transferee company to any exemption from requirement of obtaining license/permit/ registration/ quota/clearance/concessions/ grants, needed by it from Central Government, State Government, Local authority, Sectoral regulator or any other authority constituted under any other law for the time being in force.

2. **The Company Petition 87/ND/2024 for Amalgamation is allowed and disposed of, in terms of above order.**

Sd/-
(RAVINDRA CHATURVEDI)
MEMBER (T)

Sd/-
(ASHOK KUMAR BHARDWAJ)
MEMBER (J)

Ashima/Hetash